

25STUD13668 25STUD13668

County: los-angeles

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Case Number: 25STUD13668 Hearing Date: July 17, 2026 Dept: K

CASE

NAME: ARCHSTONE OAKWOOD TOLUCA HILLS v. MIKHAIL
FILIUKOV

CASE NO.: 25STUD13668

HEARING: 7/17/26

TRIAL DATES: 5/6/26-5/8/26

TENTATIVE RULING

PLAINTIFF'S

MOTION FOR NEW TRIAL

HELD: GRANTED IN PART

BACKGROUND

This

was an unlawful detainer action brought by Plaintiff/Landlord ("LL") for Defendant/Tenant's ("T") failure to pay rent. After a 3 day bench trial from 5/6/26 to 5/8/26, on 5/13/26 this Court awarded judgment T on the grounds that LL's past charges for late fees were improper and therefore entitled T to a credit which reduced the amount of unpaid rent below the amount demanded in the Notice to Quit. This Court issued a Judgement/Verdict & Statement of Decision ("SOD") explaining its reasoning and analysis on 5/13/26.

ANALYSIS

A. Motion for New Trial

LL seeks a new trial on the grounds
that this Court committed an error of law by

applying a
credit for past late fees collected to the admitted unpaid rental arrearage for
November and December 2025. LL relies
upon the recent decision in 360 So Reeves, LLC v. Dutton (2026) 119
Cal.App.5th Supp 1, wherein that plaintiff/landlord sought to evict tenant/defendant
for failure to pay rent. That tenant asserted
the affirmative defense that the notice to quit ("NTQ") "wrongly included
illegal late fees," and thereby rendered that NTQ invalid as overstating the amount
of actual back rent due. Id. 584. At trial the lease agreement admitted contained
a late fees provision and tenant testified that he had been charged late fees
pursuant to that provision, but notably failed to present any testimony that
any of those paid late fees had been included in the NTQ. Id. at 585-86. Landlord testified that the NTQ in that matter
excluded all late fees. Id. at
585. The trial court found that defendant
failed to prove that the NTQ was overstated and the appellate court
agreed. Id. at 584, 586. For purposes of this motion, the key
provision in 360 So Reeves, LLC is footnote 7, which states: "It is unnecessary to address defendant's
legal argument that the late fee provision in the lease was an invalid liquidated
damages clause considering our factual determination that there was no evidence
the notice included the late fees in the statement of rent due." Id. at 587. From the citations above, LL here argues that
this Court had improperly considered whether the late fees provision in this
case was an illegal liquidated damages clause because there was similarly no
evidence that the NTQ contained any late fees.

T argues that 360 So Reeves is
not applicable to this case because it did not address the issue of offset,
which was analyzed in this Court's SOD.

T argues that this Court's reliance on Minelian v. Manzella (1989) 215 Cal.App.3d 457 should instead govern. As explained in
this Court's SOD, Minelian

allows for the theory that past illegal rent increases may be used as a "setoff
[aka offset]" against future rental arrears.

Id. at 467. In this Court's

SOD, it extended the doctrine of setoff/offset beyond past illegal rent increases to include past (i.e., pre-rental arrearage as alleged in the NTQ) illegal late fees charged. In this Court's SOD, it reasoned that "conceptually, the late fee can be viewed as a temporary, intermittent rental increase that increases the rental obligation by \$60 each time a monthly rental payment is late." It is also undisputed that this LL's own lease agreement states that the late charges are "also considered rent." This reasoning has been rejected by 360 So Reeves, LLC, which flatly held that "[a] late fee is not considered rent . . . [t]hus a three-day notice that includes late fees in the past-due rent calculation is an overstatement of rent which renders the notice void." 360 So Reeves, LLC, 119 Cal.App.5th Supp at 585.

In addition to this analytical error, a careful reading of 360 So Reeves, LLC, especially footnote 7, convinces this Court that its judgment cannot stand. At its core, that case holds that in failure to pay rent unlawful detainers, late fees provisions cannot form a basis for an overstatement of rent affirmative defense unless the NTQ includes those late fees in the amount of back rent demanded. Indeed, footnote 7 specifies that a trial court should not even consider an argument of the legality of a late fee when there are no late fees included in the failure to pay rent NTQ. The facts in this case undisputably established that the late fees paid by this T occurred prior to the period of unpaid rent alleged in the NTQ, and therefore in accordance with 360 So Reeves, LLC, this Court erroneously addressed the legality of the late fees provision. Without addressing the issue of setoff/offset in Minelian, 360 So Reeves, LLC has procedurally limited a tenant's setoff/offset defense to past illegal rent increases and not to past potentially illegal late fees paid.

LL's motion for new trial is hereby
GRANTED IN PART.

B. Remedy for Error

CCP

§ 657 permits a verdict to be vacated "and any other decision may be modified or

vacated,

in whole or in part" when the underlying verdict/judgment resulted from an error in law. As set forth above, this

Court now concludes that it had made an error in law and hereby vacates the verdict and judgment in favor of T.

However, a new trial is unnecessary because in this Court's SOD, it also issued an alternative basis for a verdict/judgment for T on the grounds of breach of warranty of habitability. This

Court found that T had proven that affirmative defense and found that a 20% rent reduction was a reasonable amount to compensate for T's loss of the use of his balcony and the reduction in habitability conditions (dust, noise, et al) stemming from LL's remodel of that building. That

20% reduction results in a reduced monthly rent from \$1,897 to \$1,517.60 for the months of Dec. 2025, January and February of 2026 (when the remodel was completed and the balcony usage restored).

The following chart calculates the back rent due from the NTQ period starting in December 2025 up to this date:

RENTAL

PERIOD RENT ARREARAGE

Nov. 2025 \$827

Dec. 2025 \$1,517.60

Jan. 2026 \$1,517.60

Feb. 2026 \$1,517.60

Mar. 2026 \$1,897

April 2026 \$1,897

May 2026 \$1,897

June 2026 \$1,897

July 2026

(to 7/17) \$1,057.91 [$\$1,897/30 = \$63.23/\text{day} \times 17 \text{ days}$]

TOTAL \$14,025.71

The

prior judgment for T is hereby vacated and a conditional judgment for T is issued in its place, with such judgment conditioned upon T's payment to LL the amount of \$14,025.71 within 5 days of notice of this amended judgment. An OSC re: compliance will be set for 7/24/26 at 4pm or at another date and time agreed upon by the parties.

C. Attorney's Fees

Since this Court is vacating the prior judgment for T and issuing a conditional judgement

forthwith,

this motion is continued until there has been a determination as to which party is the prevailing party. A new hearing date shall be set at the next OSC re: compliance hearing.